

Economics Test 3

Assessment Report

Student: Jensi

Total Score: 16 / 26

Question Breakdown

Q1. Money held by the public...

Status: Correct (1/1)

Q2. Central Bank increases reserve ratio...

Status: Correct (1/1)

Q3. Britain maintained monopoly control...

Status: Correct (1/1)

Q4. Correct statement identification...

Status: Correct (1/1)

Q5. Commercialisation of Indian agriculture...

Status: Correct (1/1)

Q6. Total derivative deposits...

Status: Incorrect (0/1)

Error Analysis: Selected option (A) 5000.

Correct Answer: (C) 4,000. (Money Multiplier = $1/0.2 = 5$. Total Deposits = Primary Deposits $\times$ Multiplier = $1000 \times 5 = 5000$. Derivative deposits = Total Deposits - Primary Deposits = $5000 - 1000 = 4000$).

Review Topic: Credit Creation Process

Q7. Correct features of money supply...

Status: Incorrect (0/1)

Error Analysis: Selected option (D) (i) and (ii). Money held by the government and banks is not included in the money supply.

Correct Answer: (A) (i) and (iv)

Review Topic: Money Supply Components

Q8. Essential requirement for Green Revolution...

Status: Correct (1/1)

Q9. Infrastructural-development activities...

Status: Correct (3/3)

Note: Correctly identified Railways, Ports, and Roads. Be mindful of historical dates, though; the British introduced railways around 1850, not 1950.

Q10. Green Revolution ecological criticism...

Status: Partial (1.5/3)

Error Analysis: Correctly identified that the statement is true and that farmers were misusing fertilizers. However, the reasoning that "the crop will get dry" is scientifically inaccurate.

Correct Answer: The criticism is based on chemical fertilisers and pesticides leading to severe soil degradation and the contamination of food products and various water bodies.

Review Topic: Ecological Impact of Agriculture

Q11. RBI functions for the Government...

Status: Incorrect (0/3)

Error Analysis: Listed "Lender of the last Resort" and "Issuing of Notes". While these are functions of the RBI, they do not answer the prompt. The question specifically asked for functions the RBI performs for the Government that act just like a commercial bank does for the public. The RBI acts as a lender of last resort for commercial banks, not the government.

Correct Answer: The RBI maintains accounts, accepts receipts, makes payments, carries out exchange/remittance, and advances loans to the government to meet its requirements.

Review Topic: Central Bank Functions

Q12. Modernisation beyond new technology...

Status: Correct (3/3)

Q13. Correcting the indicated situation...

Status: Incorrect (0/3)

Error Analysis: For part (i), identified the situation as "open market operation," which is a tool, not the economic situation (Inflation) indicated by the flowchart. For part (ii), simply defined Repo Rate and Reverse Repo Rate. The question required an explanation of how these steps correct the economic situation.

Correct Answer: (i) The situation is inflation. (ii) Selling government securities reduces funds with commercial banks, curtailing lending capacity, reducing money supply, and decreasing Aggregate Demand. Increasing Bank/Repo rates makes borrowing costlier, discouraging borrowing, falling Aggregate Demand, and reducing inflation.

Review Topic: Monetary Policy & Inflation

Q14. Calculate change in money creation...

Status: Partial (2.5/3)

Error Analysis: Correctly calculated the initial money creation (10,000) and the new money creation (5,000). However, the mathematical notation for the multiplier was written confusingly, and the conclusion simply stated "The difference between this is the change" without actually calculating the final subtracted difference.

Correct Answer: The amount of money creation reduces from ₹ 10,000 crore to ₹ 5,000 crore (Change = ₹ 5,000 crore).

Review Topic: Money Multiplier Formula

Teacher's Note

Hi Jensi! You have a solid grasp of your multiple-choice concepts and did a great job explaining the social aspects of modernization in Q12. However, I want you to focus heavily on reading the exact wording of the questions. In both Q11 and Q13, you provided definitions that were factually true but didn't actually answer what the prompt was asking for. Take your time to underline keywords in the question before writing your response. Keep working hard, you're on the right track!